

BUS 719

Session 5

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Approaches to Change

- In this course we are going to look at three different approaches to organizational change

1. Change Management - The focus for this class

2. High Engagement Change

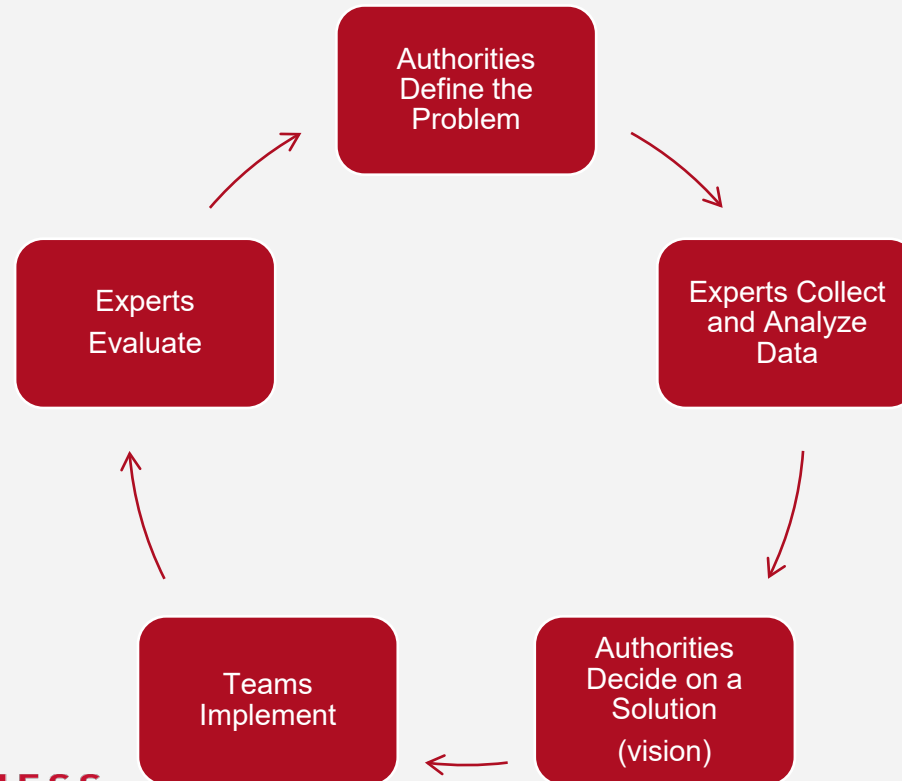
3. Generative Change

} The focus for the next two classes

Figure out what's wrong and fix it

- The dominant approach to planned change, change management, is a problem solving process aligned with hierarchical structure, where authorities figure out the right answer and hand it off to others to implement

Sometimes authorities hire consultants to help them do their parts but ultimately the authorities are responsible



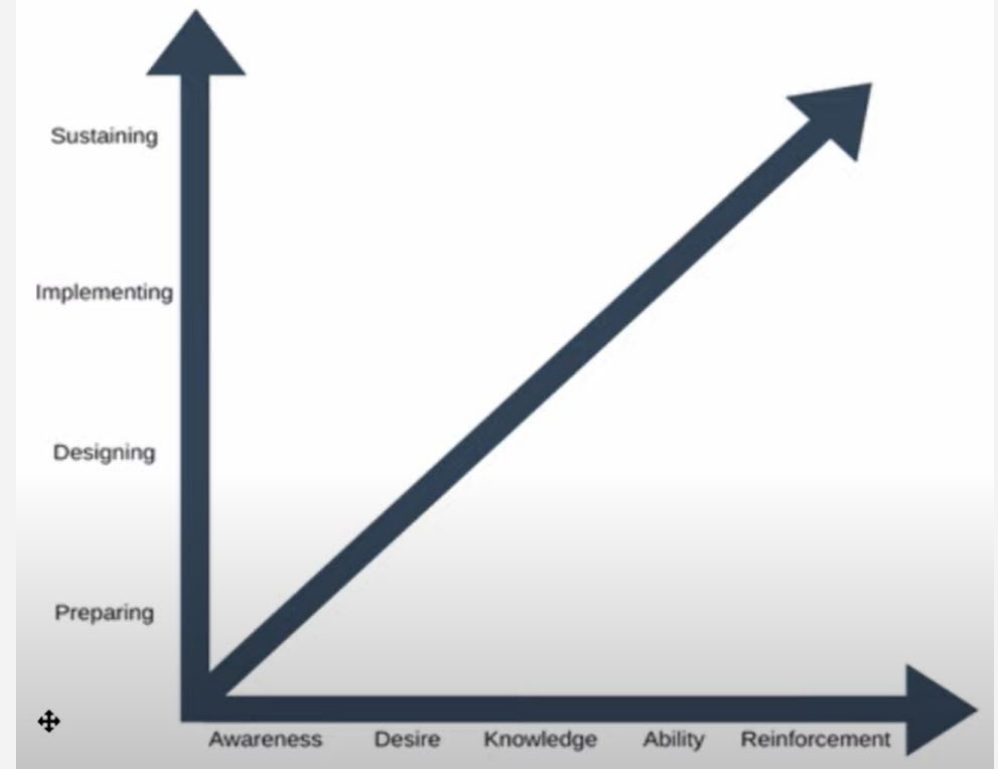
ADKAR

- ADKAR is the most widely used change management model and central to ProSci's change management certification.
- As you watch this explanation of it, note what you
 - Like/agree with/
 - Dislike/don't agree with/have questions about
- <https://www.youtube.com/watch?v=oMil59NMO2Q>

Steps of ADKAR Change

1. Awareness.
 - Aware and understand why the change is necessary.
2. Desire.
 - Feel dissatisfied with the current state.
 - Understand the negative consequences of not changing.
 - Want to participate in the change.
3. Knowledge.
 - Having the knowledge of how to change.
4. Ability.
 - New skills and behaviors to make the change happen.
5. Reinforcement.
 - The change is reinforced within each individual.

ADKAR Model in Context



Roger's Diffusion of Innovation Model

Five characteristics of a change predict how likely people are to adopt it

1. **Relative Advantage:** Degree to which the change is perceived as better than what we are doing now
2. **Compatibility:** Degree to which the change is perceived as being consistent with existing values, process, and needs
3. **Complexity (-):** Degree to which the change is perceived as difficult to understand and/or use
4. **Trialability:** Degree to which you can try out the change before committing to it
5. **Observability:** Degree to which results of the change can be seen elsewhere

Challenges of Change Management

- Numerous studies and estimates place the success rate of organizational change efforts at around 30%.
- Why does the dominant change model so often fail?

- The explanations for the difficulties with change management usually come down to people – people are (fill in your favourite adjectives)
- Kotter's list of why transformation efforts fail can be seen as a set of patches to the dominant change approach to take account of the messiness of dealing with people

Some common explanations for change failure

- Depending on one person, or a few people, to come up with the answer to complex, multi-faceted, and fluid problems.
- Experts who are not involved in day to day operations designing changes that don't work at the front lines, or create new problems.
- Hiring expensive consulting firms to propose an organizational redesign, but only being able to implement a portion of it, resulting in more problems than it solved.
- Senior Leaders set the vision and then hand off responsibility and are not engaged enough.
- Responsibility for the change is given to a “change team” (technostructure) and not owned by line managers
- Hoping that using representatives of the various stakeholders to help design changes will reduce resistance to change, but it doesn't.
- By the time all the data is collected and analyzed, recommendations and decisions are made, the situation has changed.
- How everything, from how a problem is defined, to which recommendations are discussed, is as much a political process as a rational one.
- Getting front line people engaged and energized in proposing solutions only to create cynicism and demotivation from apparent lack of follow-through.
- People resist change

Psychological Process of Transitions

William Bridges – Managing Transitions

Change happens to people. Transition, on the other hand, is internal: it's what happens inside people's minds and emotions when they're presented with change.

1. Endings (Loss and Letting Go)
2. The Neutral Zone
3. The New Beginning

Endings

- People don't change without letting go of the past. One reason change efforts fail is that they don't provide opportunities for people to let go of the past before requiring them to take on the change.
- If the loss affects people's image of themselves, the world, and how it all fits together, they need to grieve before they can move into a new beginning
- Grief is the natural change process required to re-establish an image of ourselves, the world, and how it all fits together.
- Endings often elicit strong emotions

Neutral Zone

- The Neutral Zone is a necessary time for psychological transition.
- It's when people feel most confused and anxious. They have let go of the past but they don't know what the future holds.
- The natural inclination is to wander and try stuff out. So the neutral zone can be well utilized for experimentation, creativity and innovation.
- If they feel they have no say in the unknown future, they are more likely to feel
 - Resentment towards the change initiative
 - Anxiety about their role, status or identity
 - Skepticism about the change initiative
 - Low morale

New Beginnings

- People have a new, tentative image of themselves, the world and how it all fits together that they like
- There is usually excitement and energy
- Openness to learning new things

- From my perspective, one of the greatest reasons for change management failure is that the leaders go through their own transition over a period of many months, and once they have come to their new beginning, they then expect the rest of the people in the organization to change without going through a transition.

Keda Case

Here we have a case of successful application of change management practice. In class you will discuss:

- List all the ways in which Keda accomplished each element of ADKAR – was anything missing?
- Where did Keda meet or miss Kotter's Eight Steps?
- What else, not covered by the models, contributed to their success?